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Shenzhen Kedali Industry Co Ltd | Asia Pacific

2Q26 NP Dragged by Margin; Sequential Improvement Ahead

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↓ Modest shortfall Financial results versus consensus	↓ Modest revision lower Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- 1H26 NP was Rmb943mn, +23% YoY, slightly lower than our expectation. Implied 2Q26 NP was Rmb483mn, +4% QoQ/26% YoY.
- 1H26 revenue Rmb9.2bn, +39% YoY, in line with management's earlier guidance (+30-40% YoY) and China's battery industry production (+53% YoY, 1H26).
- GPM was 21.2% in 1H26 and 20.4% in 2Q26, -0.8ppt QoQ/-3ppt YoY, amid elevated raw material (aluminum) prices.
- R&D expenses increased Rmb116mn YoY/Rmb73mn QoQ, and expense ratio edged up 0.7ppt YoY/0.3ppt QoQ, likely on development robot business.
- Kedali reiterated 2026-27 sales growth target of 30-40% YoY, amid strong demand, especially from ESS, AIDC, commercial vehicles, etc., and NPM target of 10%+.

Briefing Takeaways:

Structural parts:

- **Sequential improvement ahead:** 3Q and 4Q will continue to see fast (10-20%) QoQ revenue growth. Gross margin may improve in 3Q when effects from raw materials price hikes normalize.
- **Kedali is now running at full capacity**, and is actively expanding capacity to meet customers' demand.

Robots

- **Segment revenue will reach <Rmb100mn in 2026** and see fast growth in 2027.
- **Thailand factory:** Capacity is 1mn units of harmonic drive and Rmb700mn per year. The company may expand capacity in overseas and domestic markets following demand.
- **Management is confident about the bright prospect of humanoid robots**, and expects mass production to start soon, based on products delivery and communication with customers.

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Shenzhen Kedali Industry Co Ltd (002850.SZ, 002850 CH)

Greater China Materials | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb216.00
Shr price, close (Aug 14, 2026)	Rmb183.56
52-Week Range	Rmb237.77-115.25
Mkt cap, curr (mn)	Rmb50,468.6
EV, curr (mn)	Rmb47,886.8
Avg daily trading value (mn)	Rmb1,056

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	6.46	8.50	11.29	13.19
Revenue, net (Rmb mn)	15,213	19,694	25,516	29,333
ModelWare net inc (Rmb mn)	1,764	2,336	3,105	3,627
P/E	24.4	21.6	16.3	13.9
P/BV	3.2	3.4	3.0	2.7
EV/EBITDA	13.3	12.5	9.4	7.8
Div yld (%)	1.6	1.8	2.4	2.8
FCF yld (%)	2.6	3.9	7.0	7.7
Leverage (EOP) (%)	(18.7)	(22.2)	(32.0)	(39.7)

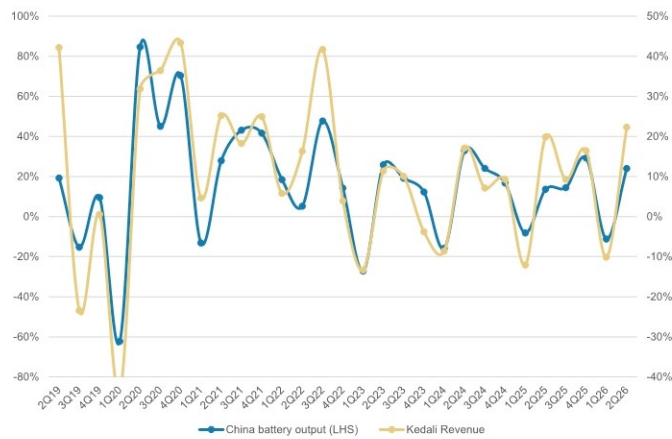
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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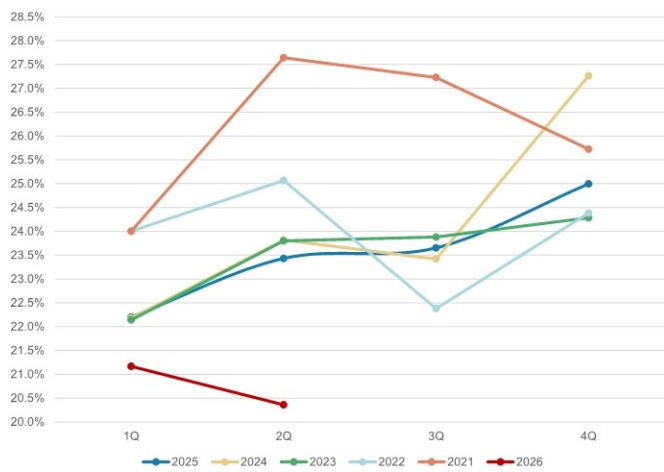
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Exhibit 1: QoQ change: China's battery output vs. Kedali's revenue



Source: Company data, China EV Battery Industry Innovation Alliance, Morgan Stanley Research.

Exhibit 2: Kedali GPM, by quarter



Source: Company data, Morgan Stanley Research.

Valuation Methodology and Risks

Shenzhen Kedali Industry Co Ltd (002850.SZ)

Base case, derived from discounted cash flow model through 2035. We apply a cost of equity of 12.2% based on a beta of 1.3, a risk-free rate of 2.7% and an equity risk premium of 7.3%. We assume 2% terminal growth beyond our explicit forecast period.

Risks to Upside

- Faster-than-expected growth of China's EV battery sales
- Kedali enters the supply chain of more overseas EV battery makers

Risks to Downside

- Weaker-than-expected growth of China's EV battery sales
- Decline in battery structural parts value per GWh

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Shenzhen Kedali Industry Co Ltd (002850.SZ) - As of 08/14/26 GMT in CNY
Industry : Greater China Materials



Stock Rating History: 8/21/23 : 0/A

Price Target History: 8/21/23 : 153; 12/14/23 : 120; 12/16/24 : 122; 7/16/25 : 131; 12/16/25 : 189; 4/28/26 : 216

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/14/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb19.14
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.70
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb33.89
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.64
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb183.56
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb54.10
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb48.33
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb42.35
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$22.70
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$16.83
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$7.29
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb10.75
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$8.42
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb19.10
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb25.83
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb13.13
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$8.94
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb41.70
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb9.26
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$8.19
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.75
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb18.29
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb11.29
China Jushi (600176.SS)	O (12/22/2020)	Rmb44.39
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.01
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$19.00

CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$17.01
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb18.44
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb40.99
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$25.16
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.29
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb53.85
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$39.58
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb60.74
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb22.51
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$36.14
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb44.61
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$17.16
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb27.66
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$8.08
PT Merdeka Gold Resources Tbk (6228.HK)	O (08/04/2026)	HK\$34.72
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb29.34
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$21.40
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.73
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$35.68
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb48.73
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.33
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$22.68
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$127.50
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$34.80
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb32.53

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.